

Meridian Mutual Personal Auto Policy Wording — PAP-2024-STD

Meridian Mutual Insurance Company — Personal Auto Policy

Policy Form: PAP-2024-STD

Edition Effective Date: January 1, 2024

Applies to: Personal Auto Policies written or renewed on or after the edition effective date, until superseded by a later form edition.

This is a synthetic policy form created for a software assessment. It is not a real insurance product and creates no real coverage or obligation.

Section 1 — Definitions

For purposes of this policy, the following terms have the meanings given below wherever they appear.

- **"You" and "your"** mean the named insured shown on the Declarations page, and that person's resident spouse.
- **"We", "us", and "our"** mean Meridian Mutual Insurance Company.
- **"Bodily injury"** means bodily harm, sickness, or disease, including resulting death.
- **"Property damage"** means physical injury to, destruction of, or loss of use of tangible property.
- **"Your covered auto"** means the vehicle described on the Declarations page, and, subject to Section 4, a newly acquired vehicle or a temporary substitute vehicle.
- **"Occupying"** means in, upon, getting in, on, out, or off.
- **"Declarations page"** means the summary document issued with this policy that states the named insured, covered vehicle, coverage selections, limits, and deductibles applicable to a specific policyholder.
- **"Actual cash value" ("ACV")** means the cost to replace damaged or stolen property with property of like kind and quality, less depreciation.

- **"Total loss"** means a covered auto for which the cost of repair, plus the salvage value, equals or exceeds the vehicle's actual cash value immediately before the loss.

Section 2 — Part A: Liability Coverage

2.1 Insuring Agreement

We will pay damages for bodily injury or property damage for which an insured becomes legally responsible because of an auto accident. We will settle or defend, as we consider appropriate, any claim or suit asking for these damages.

2.2 Limits of Liability

The Bodily Injury per person, Bodily Injury per accident, and Property Damage limits shown on the Declarations page are the most we will pay regardless of the number of insureds, claims made, vehicles or premiums shown on the Declarations page, or vehicles involved in the accident. The Bodily Injury per accident limit is the total limit for all damages for bodily injury resulting from any one accident, subject to the per-person limit for any one person.

2.3 Who Is An Insured

Under Part A, the following are insureds:

1. You, with respect to your covered auto or a non-owned auto.
2. Any resident relative, with respect to your covered auto or a non-owned auto.
3. Any person using your covered auto with your permission.
4. Any person or organization legally responsible for the acts of an insured described above.

2.4 Exclusions to Part A

See **Part F, Section 6** for exclusions applicable to all coverage parts, and **Standard Exclusions Addendum PAP-EXCL-2024** for the full list of exclusions specific to Liability Coverage, including racing, intentional acts, and undisclosed business use.

Section 3 — Part B: Medical Payments Coverage

3.1 Insuring Agreement

If the Declarations page shows that Medical Payments Coverage applies, we will pay reasonable and necessary medical and funeral expenses incurred within three years of an accident, for bodily injury sustained by an insured, caused by an

accident, and sustained while occupying a covered auto or as a pedestrian struck by a motor vehicle.

3.2 Limit of Liability

The Medical Payments limit shown on the Declarations page is the most we will pay for each insured injured in any one accident, regardless of the number of insureds, claims made, or vehicles shown on the Declarations page.

Section 4 — Part C: Uninsured/Underinsured Motorist Coverage

4.1 Insuring Agreement

If the Declarations page shows Uninsured/Underinsured Motorist Coverage applies, we will pay compensatory damages an insured is legally entitled to recover from the owner or operator of an uninsured or underinsured motor vehicle because of bodily injury sustained by an insured and caused by an accident.

4.2 Limit of Liability

The Uninsured/Underinsured Motorist per person and per accident limits shown on the Declarations page apply in the same manner as described for Liability Coverage in Section 2.2. Any amount payable under this Part will be reduced by any amount paid or payable to the insured under any Liability Coverage, Medical Payments Coverage, or workers' compensation law.

Section 5 — Part D: Coverage for Damage to Your Auto

5.1 Collision Coverage

If the Declarations page shows Collision Coverage applies to your covered auto, we will pay for direct and accidental loss to your covered auto caused by its collision with another object or its overturn, less the Collision deductible shown on the Declarations page.

5.2 Comprehensive (Other Than Collision) Coverage

If the Declarations page shows Comprehensive Coverage applies to your covered auto, we will pay for direct and accidental loss to your covered auto not caused by collision, including but not limited to fire, theft, falling objects, malicious mischief, and glass breakage, less the Comprehensive deductible shown on the Declarations page.

5.3 Transportation Expenses

If the Declarations page shows Collision or Comprehensive Coverage applies to your covered auto, we will pay, without application of a deductible, up to the daily and maximum transportation expense limits shown on the Declarations page for temporary transportation expenses incurred by you in the event of a covered loss.

5.4 Payment of Loss

We may pay for a loss in money or repair or replace the damaged or stolen property. We may, at our expense, return any stolen property to you or to the address shown on the Declarations page, at our option, with payment for any resulting damage. If we pay for a loss in money, our payment will include the applicable sales tax for the damaged or stolen property.

5.5 No Benefit to Bailee

This coverage will not directly or indirectly benefit any carrier or other bailee for hire.

Section 6 — Part E: Duties After an Accident or Loss

We have no duty to provide coverage under this policy unless there has been full compliance with the following duties:

5. Promptly notify us of how, when, and where the accident or loss happened, including the names and addresses of any injured persons and witnesses.
6. Cooperate with us in the investigation, settlement, or defense of any claim or suit.
7. Send us copies of any notices or legal papers received in connection with the accident or loss.
8. Submit, as often as we reasonably require, to physical examinations by physicians we select.
9. Authorize us to obtain medical and other relevant records.
10. Submit a proof of loss when required by us.
11. Notify the police promptly if a hit-and-run driver or theft is involved.

Section 7 — Part F: General Provisions

7.1 Policy Period and Territory

This policy applies only to accidents and losses that occur during the policy period shown on the Declarations page and within the United States of America, its territories or possessions, or Canada.

7.2 Changes

This policy contains all the agreements between you and us. Its terms may not be changed or waived except by endorsement issued by us.

7.3 Section 6 — Exclusions Applicable to All Coverage Parts

The exclusions applicable to all Coverage Parts are set out in the **Standard Exclusions Addendum PAP-EXCL-2024**, which is incorporated into this policy by reference and issued alongside this Policy Wording.

7.4 Concealment or Fraud

We do not provide coverage for an insured who has made fraudulent statements or engaged in fraudulent conduct in connection with any accident or loss for which coverage is sought under this policy.

7.5 Assignment

Your rights and duties under this policy may not be assigned without our written consent.

Section 8 — Part G: Claims Handling and Conditions

8.1 Claim Acknowledgment

The Company will acknowledge a reported claim within 15 business days of receipt of notice as required under Section 6.1.

8.2 Appraisal

If we and an insured disagree on the amount of loss, either party may demand an appraisal. Each party will select a competent appraiser. The appraisers will select an umpire; if they cannot agree, either party may request a court to select one. Each party pays its own appraiser, and appraisal costs are shared equally.

8.3 Other Insurance

If there is other applicable auto insurance, we will pay only our share of the loss. Our share is the proportion that our limit of liability bears to the total of all applicable limits.

8.4 Subrogation

If we make a payment under this policy and the person to or for whom payment was made has a right to recover damages from another, that person must transfer that right to us to the extent of our payment.

8.5 Loss Payee and Lienholder Interests

If a lienholder or lessor is shown on the Declarations page as a loss payee for your covered auto, we will pay for a covered Part D loss to you and the loss payee as their interests appear, and payment to the loss payee will be reduced by any amount already paid to you for the same loss. A loss payee's interest is not affected by any act or neglect of the named insured, unless the loss payee itself participated in that act or neglect.

Section 9 — Cancellation and Non-Renewal

9.1 Cancellation

We may cancel this policy during the policy period only for non-payment of premium, material misrepresentation on the application, or suspension or revocation of the named insured's driver's license, and only with the advance written notice required by the law of the state shown on the Declarations page.

9.2 Non-Renewal

We may elect not to renew this policy at the end of a policy period by providing written notice at least 30 days before the end of that period. Non-renewal does not affect coverage for a loss that occurred while the policy was in force.

9.3 Return Premium

If this policy is cancelled, we will refund any unearned premium on a pro-rata basis, less any amounts owed to us.

Section 10 — Arbitration and Dispute Resolution

10.1 Availability

Where permitted by the law of the state shown on the Declarations page, and where the amount in dispute under Uninsured/Underinsured Motorist Coverage does not exceed the state's minimum financial responsibility limits, either party may demand binding arbitration in lieu of litigation. Disputes about coverage under Parts A, B, D, or the amount of loss under Part D (which follow the Appraisal process in Section 8.2 instead) are not subject to this Section 10.

10.2 Selection of Arbitrators

Each party selects one arbitrator; the two arbitrators select a third. A decision agreed to by any two of the three arbitrators is binding.

Section 11 — Additional Conditions

11.1 Legal Action Against Us

No legal action may be brought against us until there has been full compliance with all the terms of this policy, and, under Part A, until the amount of an insured's obligation has been finally determined either by judgment against the insured after trial or by written agreement of the insured, the claimant, and us.

11.2 Bankruptcy

Bankruptcy or insolvency of an insured does not relieve us of any of our obligations under this policy.

11.3 Two or More Auto Policies Issued by Us

If this policy and any other auto policy we have issued to you apply to the same accident, the maximum limit of our liability under all the policies combined will not exceed the highest applicable limit of liability under any one policy.

11.4 Trailers

Your covered auto includes a trailer owned by you while it is attached to a covered auto, subject to Part A liability limits. A trailer is not covered under Part D unless a Trailer Coverage Endorsement is attached and listed on the Declarations page.

11.5 Named Driver Exclusion

Where a Named Driver Exclusion Endorsement lists a specific person, no coverage of any kind applies under this policy for that person's operation of any vehicle, including the covered auto, for as long as the endorsement remains attached. This is stricter than the general provision in Part F excluding coverage for a specific loss while an excluded driver operates the covered auto — a Named Driver Exclusion Endorsement excludes the named person entirely, not just a specific loss.

11.6 Two or More Covered Autos

Where the Declarations page lists more than one covered auto, the terms of this policy apply separately to each, except that the Liability limits shown apply to the accident, not per vehicle involved, consistent with Section 2.2.

Section 12 — Additional Coverage Procedures and Policyholder Rights

12.1 Proof of Loss

For a claim under Part D, we may require you to submit a sworn proof of loss on a form we provide, within 60 days of our request, itemizing the property damaged or lost, its value, and the amount claimed. Failure to submit a required proof of loss within a reasonable time may delay, but does not automatically forfeit, an otherwise valid claim, unless the delay materially prejudices our ability to investigate.

12.2 Examination Under Oath

As part of our investigation of any claim, we may require an insured or claimant to submit to an examination under oath, as often as reasonably required, and to sign a transcript of that examination. This is a formal investigative tool distinct from the routine claim narrative taken at intake.

12.3 Recorded Statements

We may request a recorded statement from an insured or a claimant regarding the circumstances of a loss. Providing a recorded statement is not, by itself, an admission of fault or a waiver of any right under this policy.

12.4 Independent Medical Examination

Where a claim involves Medical Payments Coverage (Part B) or a bodily injury claim under Uninsured/Underinsured Motorist Coverage (Part C), we may require the injured person to submit to an independent medical examination by a physician we select, as often as reasonably required, at our expense.

12.5 Vehicle Inspection Requirements

Before we pay a Part D claim, we may require the covered auto to be made available for inspection, including a pre-repair inspection, at a reasonable time and place we designate.

12.6 Salvage Retention Rights

If we pay a total loss claim and you wish to retain the damaged vehicle, we will reduce the settlement by the vehicle's documented salvage value and the resulting title will carry a salvage brand, consistent with the Total Loss Valuation Methodology and applicable state title requirements.

12.7 Non-Duplication of Benefits

Amounts payable under Part B (Medical Payments) are reduced by amounts paid or payable for the same expenses under any workers' compensation law or any health insurance plan that itself provides for such a reduction — this policy does not stack with another source that pays the same medical expense, though it does not require a claimant to exhaust health insurance first unless that other plan's own terms require coordination.

12.8 Diminished Value and Betterment

We do not pay for diminished resale value of a repaired covered auto. Where a repair replaces a part with a new part of materially better condition than the part it replaces (for example, new tires replacing significantly worn ones), we may apply a betterment deduction reflecting that improvement, disclosed to you as part of the repair estimate.

12.9 Emergency Road Service and Towing

Where the Declarations page shows the Roadside Assistance Endorsement (END-RA-01) is attached, towing and labor costs at the scene of a covered breakdown are payable up to that endorsement's limit, without application of any Part D deductible. Without that endorsement attached, towing following a covered Part D loss is payable only as part of the loss itself, not as a separate emergency-service benefit.

12.10 Electronic Communications and Notice

Where you have consented to electronic delivery, any notice, statement, or communication this policy requires may be delivered electronically and is treated as received when transmitted to the address or number you provided, unless we receive notice that delivery failed.

Appendix — Illustrative Payout Examples (Part D)

These examples illustrate how Section 5 applies; they do not modify the coverage itself, and the actual computation for any real claim uses the figures on that claim's own Declarations page.

Example 1 — Collision claim. A policyholder with a \$500 Collision deductible has \$3,200 in estimated Collision damage. Payout = \$3,200 – \$500 = **\$2,700**.

Example 2 — Comprehensive claim below the deductible. A policyholder with a \$500 Comprehensive deductible has a \$480 windshield claim. Because PAP-2024-STD has no glass-only deductible waiver, the standard deductible applies in full.

Payout = $\max(\$480 - \$500, 0) = \mathbf{\$0}$. The policyholder is responsible for the full repair cost in this scenario.

Example 3 — Liability claim. A policyholder with a \$50,000 Property Damage liability limit causes \$6,500 in damage to another driver's vehicle. Payout = $\min(\$6,500, \$50,000) = \mathbf{\$6,500}$. No deductible applies to third-party Liability claims.